

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 834

BY APPROPRIATIONS COMMITTEE

AN ACT

RELATING TO STATE BUDGETS; AMENDING SECTION 67-3521, IDAHO CODE, TO REVISE PROVISIONS REGARDING CERTAIN CARRY FORWARDS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 67-3521, Idaho Code, be, and the same is hereby amended to read as follows:

67-3521. ENCUMBERING APPROPRIATIONS OR EXCESSIVE EXPENDITURES FORBIDDEN -- ENCUMBRANCES TO REVERT -- EXECUTIVE CARRY FORWARD APPROVAL. (1) No officer, department, bureau, or institution shall encumber any appropriations or be allowed to make any expenditures from appropriations in excess of the spending authority provided by this chapter.

(2) Encumbrances shall be reported as reductions against appropriations in anticipation of an expenditure, shall be made only for a legally contracted obligation or for the accrued cost of a specific product or service due and payable prior to or as of the end of the current fiscal year or for the term of the contract obligation, and shall not be used as a means of reserving a portion of the appropriation of one (1) fiscal year to be used in combination with the appropriation of the following year. Requests for executive carry forward shall be accompanied by proper identification of the accrued cost, which must be adequately covered by appropriated moneys from the current fiscal year.

(3) Notwithstanding any provisions of this section to the contrary, all purchase orders issued by the administrator of the division of purchasing, or purchase orders issued pursuant to a delegation of purchasing authority to specified state officers and employees, shall be encumbered and, if not liquidated by payment of the accrued cost during the current fiscal year, shall be included as executive carry forward. Such encumbrance and executive carry forward shall not require the approval of the administrator of the division of financial management for executive carry forward.

(4) When purchase requisitions are submitted by agencies prior to the administrator of the division of purchasing's fiscal year-end cutoff date, but not processed either due to workload or bid requirements, agencies may submit a request for executive carry forward to the administrator of the division of financial management.

(5) Executive carry forward not liquidated by payment of the accrued cost ~~during the on or before October 1 of the succeeding fiscal year shall revert to the fund from which it originated and shall be recorded as a reversion in that fiscal year, unless approved for extension by the administrator of the division of financial management.~~ Liquidation of executive carry forward shall be recorded as an expenditure only in the fiscal year in which it is liquidated.

1 (6) The provisions of this section shall not apply to encumbrances in-
2 volving vocational educational or career technical reimbursements to edu-
3 cational institutions or to encumbrances involving contracts for the con-
4 struction of highways, bridges, buildings, or other primary structures or
5 capital improvements and, if not liquidated by payment of the accrued cost
6 during the current fiscal year, shall be included as executive carry for-
7 ward.

8 SECTION 2. An emergency existing therefor, which emergency is hereby
9 declared to exist, this act shall be in full force and effect on and after
10 July 1, 2026.